The Coca-Cola Company

4Q24 earnings prep

We anchor to +2.8% EPS growth in CY25 (vs. Street +3.5%), which includes a ~525 bps drag from currency on our numbers.

Given KO already spoke to an estimated +MSD headwind to EPS in 2025 from currency with the 3Q print, we think there is less of a FX surprise looming for this name vs. some other multinationals. The currency outlook surely isn't a good one (and likely somewhat worse vs. late October), but we think the relatively visibility is appreciated. Aside from currency, KO seemed to get swept up in broader MAHA concerns at the end of last year, but this move felt overdone to us and we see KO in a fundamentally different position than certain other Staples peers.

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 66.00
Price (06-Feb-25)	USD 63.36
Potential Upside/Downside	+4.2%

Source: Bloomberg, Barclays Research

U.S. CHPC & Beverages
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Current Consensus Expectations

---- 4Q24 ----

- 4Q24 EPS: $0.52 [$0.50-$0.54 range, Barclays = $0.52]
- 4Q24 sales growth: -2.5% [-4.3% to +0.3% range, Barclays = -2.1%, +6.8% organic]

---- 2024 ----

- 2024 EPS: $2.85 [$2.84-$2.89 range, Barclays = $2.85]
- 2024 sales growth: +0.9% [+0.4% to +1.5% range, Barclays = +0.9%, +10.5% organic]

---- 2025 ----

- 2025 EPS: $2.95 [$2.89-$3.08 range, Barclays = $2.93]
- 2025 sales growth: +2.9% [Barclays = +3.5%, +6.7% organic]

Source: Consensus figures from Bloomberg

Our Thoughts

Given KO already spoke to an estimated +MSD headwind to EPS in 2025 from currency with the 3Q print, we think there is less of a FX surprise looming for this name vs. some other multinationals. The currency outlook surely isn't a good one (and likely somewhat worse vs. late October), but we think the relatively visibility is appreciated. For our part, in mid-January we widened our currency headwinds to sales for 4Q24 and 2025 by a respective ~50 bps and ~85 bps, translating to a respective ~120 bps and ~190 bps incremental drag on EPS. Aside from currency, KO seemed to get swept up in broader MAHA concerns at the end of last year, but this move felt overdone to us and we see KO in a fundamentally different position vs. the likes of PEP that also has the salty snack exposure. So while a strong US dollar and RFK Jr headlines seem to present US headline risk, we still see a solid fundamental setup for KO and expect the company will continue to manage through with various puts and takes across its portfolio as is often the case with this diversified global reach.

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For 4Q, our organic sales forecast for +6.8% was largely unchanged from post-3Q EPS at the enterprise level, although in mid-January we made EMEA and BIG a bit lighter (-150 bps to +6.5% and -150 bps to +4.5%, respectively) and North America and APAC a bit stronger (+100 bps to +8% and +200 bps to -4%, respectively). At a consolidated level, we look for price/mix of +6.4% and concentrate +0.4%, with UCV slightly ahead of concentrate at +0.9% as the two extra selling days are offset by remaining unwind of over-shipments left in LatAm and North America. Layering in our FX headwind of -4.2% and a -460 bps drag from refranchising, we look for net sales to decline -2.1%. We forecast gross margin expansion of +80 bps YoY, supported by underlying improvement of +40 bps, a structural tailwind of +60 bps and a currency drag of -17.5 bps. Our opex as a percent of sales is up +25 bps YoY and translates to an operating margin of 23.7%. We reiterate our 4Q24E EPS of $0.52 that brings the full year to $2.85 that is in-line with consensus and KO's guidance.

Looking into FY25, we model OSG of +6.7% supported ~45/55 by concentrate volumes vs. price/mix. Inclusive of our -2.3% FX drag and remaining -0.9% headwind from refranchising, we look for net sales growth of +3.5%. Our operating margin is up +20 bps YoY to 30.3%, which is predicated on underlying expansion of +100 bps (north of the implied ~50 bps p.a. implied by KO's algo given we expect the sunsetting of Global Ventures to help extract some incremental overhead costs) along with ~15 bps remaining tailwind from refranchising and ~90 bps of offset from FX. All-in, we look for CY26E EPS of $2.93 (+2.8% YoY) that includes a -525 bps drag from currency alone.

What Matters Most To Us

- 2025 guidance (including the latest on FX) and KO's conviction behind that outlook
- Perspective on recent volume trends and KO's efforts to support steady growth
- Progress on US focus areas

Guidance Recap

---- 4Q24 ----

- Currency: 4% headwind to revenues; 10% headwind to EPS (based on rates as of October and inclusive of hedged positions)
- Structural: 4-5% headwind to comparable net revenues; 3-4% headwind to EPS

---- 2024 ----

- Organic revenue growth: +10%
- EPS growth: +5-6% (currency neutral +14-15%)
- Currency: 5% headwind to revenues and 9% headwind to earnings (both including the impact of hedged positions)
- Structural: 4-5% headwind to comparable net revenues; 1-2% headwind to EPS
- Inflation: more normalized levels of inflation (historical run-rate ~LSD)
- Tax rate: ~18.8%, not including any impact of ongoing tax litigation
- FCF: $9.2 billion, not including any potential payments related to ongoing tax litigation
- OCF: $11.4 billion
- Capex: $2.2 billion

---- Long-Term Guidance ----

- Organic revenue growth +4-6%
- Comparable, FX-neutral operating income growth 6% to 8%
- Comparable, FX-neutral EPS growth +7-9%
- Adjusted free cash flow conversion 90% to 95%
- CapEx at 4.5% to 5% of net revenue
- Target of 2 to 2.5x net debt leverage

KO 4Q24 Earnings Call Details

Tuesday, February 11th @ 8:30 a.m. ET - US: 888-415-4465; International: 646-960-0140; Passcode: 6819315

As always, please feel free to call with any questions or comments.

Best,

Lauren

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Primary Stocks (Ticker, Date, Price)
The Coca-Cola Company (KO, 06-Feb-2025, USD 63.36), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)	Kenvue Inc. (KVUE)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)
Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
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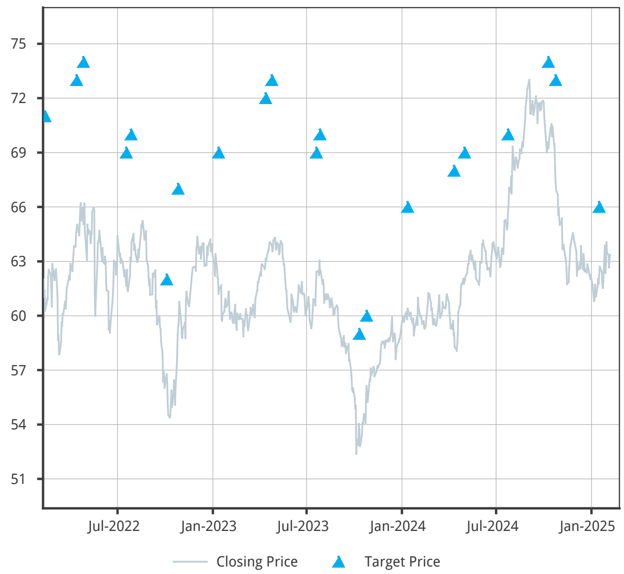
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 63.36** (06-Feb-2025)

Rating and Price Target Chart - USD (as of 06-Feb-2025)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
16-Jan-2025	61.77		66.00
24-Oct-2024	68.01		73.00
10-Oct-2024	69.57		74.00
24-Jul-2024	64.96		70.00
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00

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Source: Bloomberg, Barclays Research

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